

**Time:** 5 minutes**Outcome:** Explain Producer Surplus & Willingness to Accept.**Difficulty:** ●●○ Intermediate

Producer Surplus & Willingness to Accept



THE CORE IDEA

Producer surplus is price received minus the seller's minimum acceptable price. Supply represents marginal willingness to accept, reflecting opportunity cost. On a graph, producer surplus is the area above supply and below price up to quantity traded.



HOW TO RECOGNIZE IT

- Look for a seller's willingness to accept or marginal cost and the price received.
- Individual producer surplus equals price received minus willingness to accept.
- On a graph, producer surplus is the area above supply and below the market price up to the quantity traded.
- A seller whose cost exceeds the market price does not make that trade.

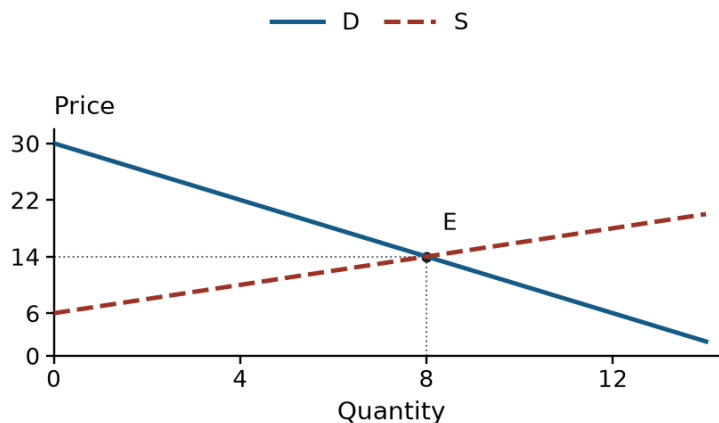


WATCH OUT

Producer surplus is the price received minus willingness to accept, summed over units sold. Do not confuse this per-unit price-cost gap with total revenue.



WORKED EXAMPLE: CALCULATING PRODUCER SURPLUS



At equilibrium, price is \$14 and quantity is 8. The supply intercept is \$6, so producer surplus is the triangle above supply and below price: $\frac{1}{2} \times 8 \times (\$14 - \$6) = \32 .



CHECK YOURSELF

Why is the full area above supply not producer surplus?

**READY?**

Return to the game and master this concept.